Meza Technologies - Form 10-K Extract (Fiscal 2024)

Item 1. Business

Meza Technologies is a software company operating through three reportable segments: Cloud Platform,

Enterprise Licences and Professional Services. Our principal executive offices are located in Columbus, Ohio. As of the end of fiscal 2024, we employed approximately 43,163 people worldwide. We sell to customers in more

than 112 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- We may be unable to attract and retain the highly skilled employees our strategy needs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Climate-related regulation and physical risks may increase our operating costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Acquisitions may not deliver the expected synergies and could divert management attention. We have experienced such events in the past and expect to continue to face them. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Cybersecurity incidents could result in the loss of confidential data, regulatory penalties and reputational harm. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Litigation and regulatory investigations could result in significant fines or restrictions on our business. We have experienced such events in the past and expect to continue to face them. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Intense competition could reduce our market share or force us to lower prices. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Insurance coverage may not be sufficient to cover all losses arising from these risks.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2024 was $41,222 million, an increase of 3.1 percent compared with the prior year. Operating margin was 10.6 percent and net income was $3,309 million. The Cloud Platform segment was our largest, contributing $17,626 million of revenue.

Segment revenue:

- Cloud Platform: $17,626 million
- Enterprise Licences: $11,810 million
- Professional Services: $11,786 million

Results reflected a favourable mix partly offset by higher input costs.

Liquidity and Capital Resources

Long-term debt totalled $31,540 million, and cash and cash equivalents were $5,515 million. Capital expenditures were $994 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $2.10 per share and authorised a $307 million share repurchase programme. We believe existing cash, operating cash flow and our revolving credit facility will be sufficient to fund operations for at least the next twelve months.